

Multiple Choice (10 marks)

1. Marginal cost always intersects average variable cost at
 - (a) the minimum of average total cost
 - (b) the point where average variable cost is equal to marginal cost
 - (c) the profit-maximizing quantity
 - (d) the maximum of average variable cost
 - (e) the point of equilibrium between supply and demand
2. According to Say's law
 - (a) when price goes up supply goes up
 - (b) price and supply have no correlation
 - (c) when supply goes up, demand goes down
 - (d) demand creates its own supply
 - (e) when demand goes up, supply goes down
3. Economy X is an open economy with flexible exchange rates. Economy Y is closed. Ceteris paribus expansionary monetary policy is
 - (a) more effective in X because the policy will increase net exports.
 - (b) more effective in X because the policy will decrease net exports.
 - (c) equally effective in X and Y.
 - (d) less effective in X because the policy will decrease net exports.
4. When disposable income increases by \$X
 - (a) saving remains constant.
 - (b) consumption decreases by more than \$X.
 - (c) saving increases by exactly \$X .
 - (d) saving increases by less than \$X .
 - (e) consumption decreases by less than \$X.
5. What are some reasons why there has been a relative shift from farming?
 - (a) The invention of automated systems that have made traditional farming obsolete
 - (b) Emergence of widespread diseases that make farming untenable
 - (c) Shift in consumer preferences towards synthetic foods
 - (d) A global decrease in the demand for agricultural products
 - (e) People seek the higher incomes of the city, shorter hours, and better social life in town

True / False (10 marks)

Answer True or False

6. True or False: The bill rate for a 91-day bill priced at \$97,987 is 7.96%, and its coupon issue yield is 8.24%.
7. True or False: Real incomes do not necessarily fall during inflation, as they can remain stable or even increase depending on wage adjustments.
8. True or False: A white noise process has a constant variance and autocovariances that are constant and zero except at lag zero.
9. True or False: A negative or contractionary supply shock will shift the Phillips curve to the right, indicating higher inflation and unemployment.
10. True or False: Increasing the federal funds rate is a primary tool of the Federal Reserve for managing monetary policy.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze how Adam Smith's concept of the division of labor enhances production efficiency, and discuss its implications for specialization in economic systems.
12. Analyze the relationship between real GNP, the quantity of money, and the price level in an economy where the velocity of money remains constant, explaining the implications of these changes.

End of Paper